China A-shares Equity Strategy

Onshore flows remain subdued, but AI still anchors the growth side of our barbell approach

Equity Macro Research

Erin Zhang, CFA AC
(86-21) 6106 6328
erin.zhang@jpmorgan.com
SAC Registration Number: S1730521090002
J.P. Morgan Securities (China) Company Limited

Tim Huang
(852) 2800-4323
tim.huang@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Rajiv Batra
(65) 6882-8151
rajiv.j.batra@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited

Head of China Research

Alex Yao
(86 21) 6106 6505
alex.yao@jpmorgan.com
SAC Registration Number: S1730523020001
J.P. Morgan Securities (China) Company Limited

Domestic liquidity in A-shares remains subdued, with velocity, margin financing and ETF flows at low levels, and we have yet to see signs of meaningful funding injection into the A-share market by central government-backed financial institutions (Figure 23 and Figure 24). Under the prevailing style, we continue to favor a barbell approach, with high yielders (Figure 12) on the defensive side, and AI (Figure 10) and CXO/Innovative drugs (Figure 11) on the growth side. While healthcare and high yielders have been outperforming in the past month or so, the big debate is the positioning in AI. We acknowledge that geopolitical concerns do weigh on AI valuations, and that momentum money participation in AI, though still at an elevated level on a cross-sector basis, has been declining (Figure 4 and Figure 5). We see AI sub-sectors with reasonable valuations as a cushion against downside risks: **Memory and Server/switch ODM/OEM (JPM top pick: Huaqin) are two verticals with fair FTM P/S and decent FTM sales y-y (Figure 1, Figure 2 and Figure 3).** We also believe that if domestic policy makers later specify a meaningful upward revision to AI capex target, it would be a clear positive for the industry, particularly for the domestic supply chain.

- **Geopolitical concerns weighing on A-share AI infrastructure trade.** Recent client feedback points toward rising concerns that an FCC rule, or broader import limits on Chinese products, would hit the A-share AI global supply chain, and that the MATCH Act would put pressure on the A-share AI domestic supply chain. **The optimistic camp of clients offers various counter arguments:** 1) China AI players have been delivering strong near-term earnings growth, as evidenced by CSI-300 IT expected to deliver +53% FTM EPS y-y on Wind consensus. 2) There is no quick replacement for Chinese players' supply, amidst genuine global demand. Lumentum's CEO noted the company's optical components are "completely sold out" through early 2029, and disruption to the supply chain would be taken as a negative, as Chinese players take c70% of US transceiver market share. 3) China has leverage on indium phosphide, a must-have laser material, which relies on indium mostly from China, now under export control. That said, none of these counter arguments can fully remove the worry about A-share AI infrastructure companies' sales and earnings beyond 2028/29. Until the shoe drops, we believe it is then a matter of risk-reward, or in other words, whether valuation is reasonable to provide enough cushion on the geopolitical downside. Figure 1 and Figure 2 show that IDC/telecom operators, Server/Switch ODM/OEM, Cable, OSAT, Foundry, Cooling and Power supply are subsectors with FTM P/S below 5x; while Cable, Design services/IP, CPU/GPU/AI ASIC, IDC, server/switch ODM/OEM, and Memory are verticals with FTM P/S below their respective historical mean. Figure 10 shows the Screen on China A-share AI infrastructure sub-industries with free-float (FFL) market cap>US$3bn.

- **Positioning in A-share AI names yet to bottom, capping the strength of any rebound.** Domestic liquidity indicators show a tug-of-war between waning momentum money participation in AI (Figure 4, Figure 5) and ETF inflows into semiconductors and STAR Board (Figure 25 and Figure 27). Semiconductors and tech hardware still rank high in momentum, but their scores are falling (Figure 6). In terms of price reaction, it seems that the departure of momentum money has played a bigger role as AI themes fell almost across the board, with optical modules down 16.8%, optical chips -15.5%, GPU -14.2%, HBM -14.1%

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

and optical communication -14.3% over the past five trading days (vs. CSI-300 -4.6%). The 20-day view looks the same, with GPU, FP8, AI servers and consumer electronics OEM at the bottom, and Relative Strength Index (RSI) readings stuck in the territory near 30 to 40 (Figure 7 and Figure 8). Meanwhile the leaders were high-yielders such as banks and hydropower, cyclicals such as shipping, and policy speculation proxies (e.g. property). On balance, we would see better risk-reward when A-share market crowding (Figure 21) and the A-share momentum breadth tracker (Figure 22) move back to the lower end of their historical ranges.

- **Policy support: the New Quality Productivity Directive marks positive progress, yet market excitement awaits specified funding size.** China issued guidelines on developing new quality productive forces on 9 October, likely explaining the A-share market rebound in the afternoon session that day. We note that the guidelines focus on execution of the 15th Five Year Plan industrial blueprint. On industry scope, the guideline re-anchors strategically important industries noted in the 15th FYP, mapping emerging and future industries to the plan almost verbatim. That said, we note that the guideline has a dedicated Article 10 to elaborate on implementation of "AI+" action, and pairing it with concrete execution levers such as computing, algorithms, data supply, industry pilots, and safety governance. Such structural emphasis signals a clear policy-priority setting for the AI sector, in our view. One thing to note is that the document has not given an explicit funding figure, leaving budgets to later annual plans. We believe later-rolled-out budget amounts, which could lift our China domestic AI capex forecast, could be a positive catalyst.

- **JPM Asia Equity Strategy team remains confident on global AI fundamentals.** Our regional strategists note that the economics of the AI hardware layer are very positive at the moment, with supply-demand tightness (expected at least through 2028) leaving Asian firms with significant pricing power to go with volume growth, driving ecosystem net income to over US$1trn by 2028. Specifically on the question on the duration of the spending cycle, which depends largely on how well AI is monetized at the hyperscalers, AI models, and applications, they note that ROI is at above 30% at the hyperscaler layer and the funding constraints can be overcome, keeping the current momentum in AI capex intact – and there are sufficient pathways for the model layer to deliver on monetization.

- **Strong EPS growth remains the key to support share price when valuation contracts in a US rate hiking cycle**: Our study on the UST YTM yield increases' impact on CSI300 and sector indices (Figure 37) shows that TTM P/E multiples stay resilient under circumstances of UST bear steepener with UST 2Y YTM increasing slower than UST 10Y YTM; and tend to contract during periods of bear flattener with UST 2Y YTM increasing faster than UST 10Y YTM, often amidst a policy rate hike cycle. Meanwhile, we also find that while valuation multiple contraction averaged -38% for CSI300: 1) high yielders tend to be less sensitive on TTM P/E contraction; and 2) outstanding TTM EPS growth can offset this on sector level. Current consensus estimates on FTM EPS growth show that IT (+53%) is the most likely sector to have EPS growth offsetting P/E contraction, if any.

- **We maintain our end-2026 base case target for the CSI-300 at 5,200,** underpinned by 19% consensus FTM year-over-year EPS growth projections. Domestic interbank liquidity remains abundant, though market-level indicators have been fluctuating around subdued levels, with no strong signals of central-

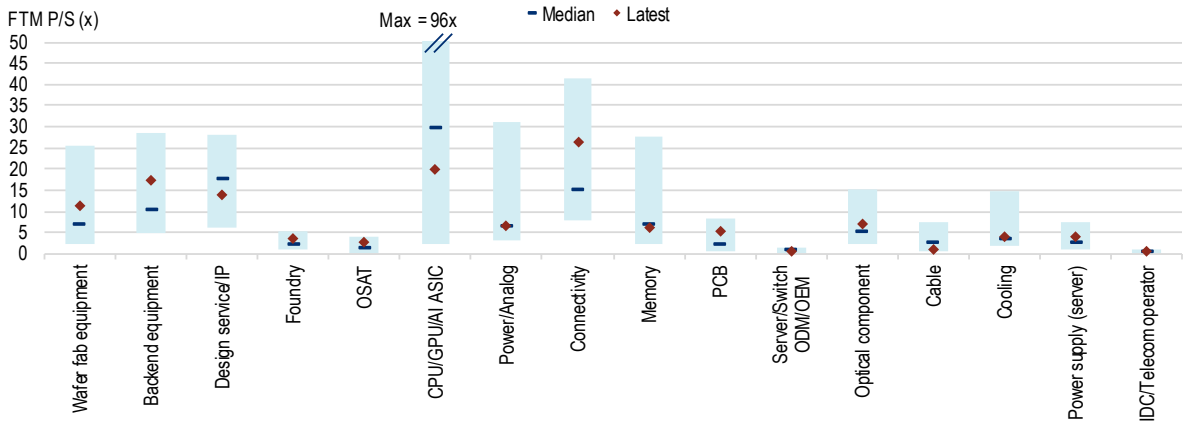
government backed fund injection. The global liquidity tightening cycle appears to have added downward pressure on CSI-300 FTM P/E, with CME FedWatch expecting one/three more hikes through end-2026/27. We maintain the barbell approach under such a circumstance, with growth themes such as AI infrastructure and CXO/innovative drugs on the growth end, and high yielders on the other end. Chinese policy makers' initiatives to balance equity issuance and buybacks may also lend support to the higher shareholder return theme in coming quarters.

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

J.P.Morgan

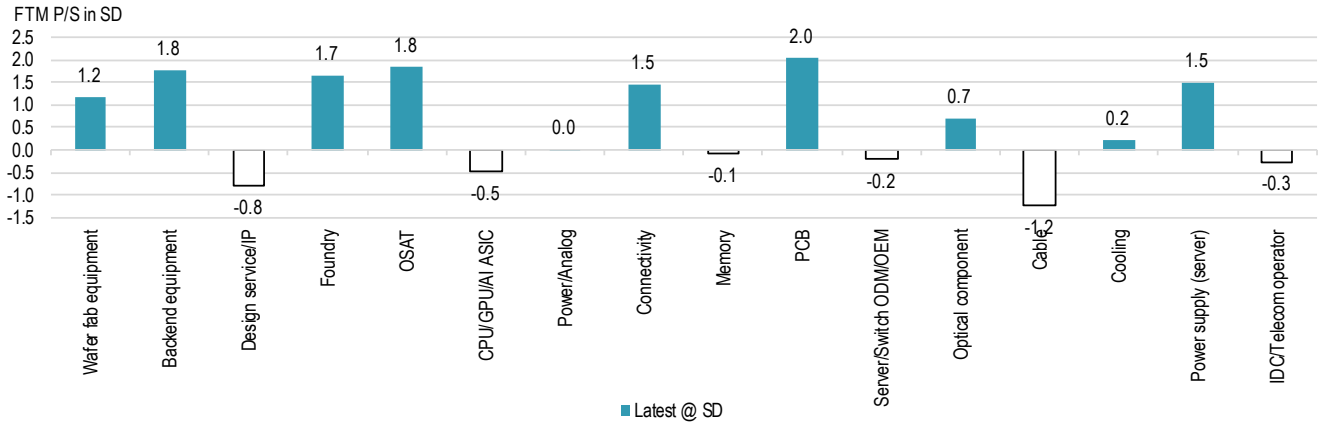
Charts in focus

Figure 1: A-share AI stock FTM P/S by subsector



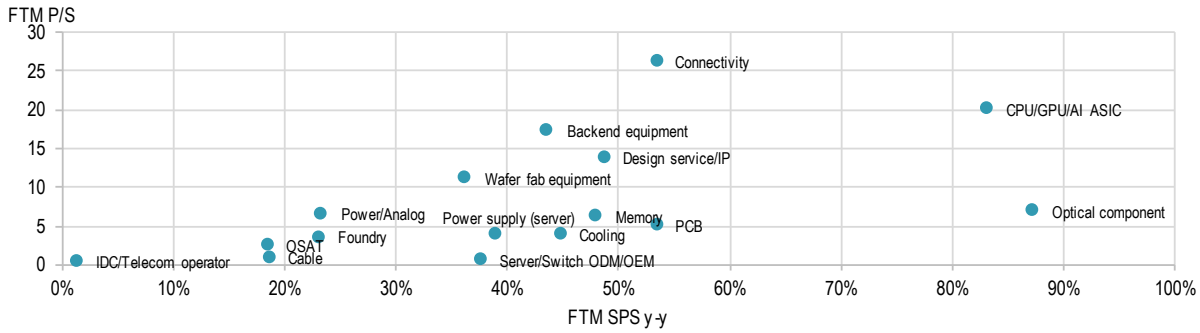
Source: LSEG Workspace (8 Oct 2026)

Figure 2: A-share AI stock FTM P/S standard deviation by subsector



Source: LSEG Workspace (8 Oct 2026)

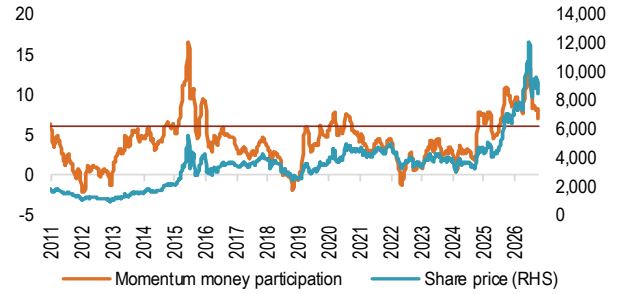
Figure 3: A-share AI stock FTM P/S vs FTM SPS y-y



Source: LSEG Workspace (8 Oct 2026)

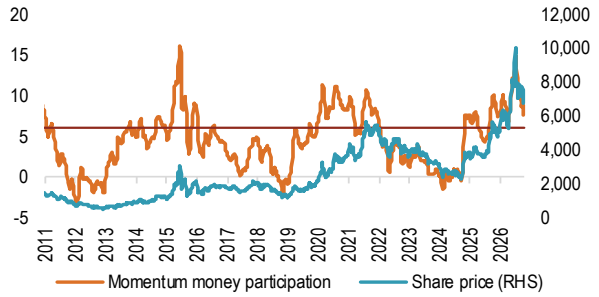
Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

Figure 4: Momentum tracker: A-share tech hardware



Source: Wind (8 Oct 2026)

Figure 5: Momentum tracker: A-share semiconductor



Source: Wind (8 Oct 2026)

Figure 6: A-share sector momentum tracker, ranked by the latest score

	Momentum tracking score				No.1 weighted A-share constituents in Wind industry indices	
Industry	Latest	4 weeks ago	Change	Share perf over past 4 weeks	Ticker	Company
Semiconductors & Semiconductor Equipment	7.6	8.7	-1.0	-6.1	688256.SH	CAMBRICON
Technology Hardware & Equipment	6.9	8.1	-1.2	-10.5	300308.SZ	ZHONGJI INNOLIGHT
Coal	5.1	5.6	-0.5	1.1	601088.SH	CSEC/CHINASHENHUA
Non Ferrous Metal	4.7	6.3	-1.6	-5.5	601899.SH	ZIJIN MINING
Construction Materials	4.6	5.2	-0.6	-5.6	600176.SH	CJS
Paper & Packaging	4.5	4.5	0.0	0.2	002078.SZ	SUN PAPER
Consumer Durables & Apparel	4.2	3.8	0.4	2.9	603816.SH	KUKA
Chemical	4.2	4.8	-0.6	-0.7	600309.SH	WANHUA
Pharmaceuticals, Biotechnology & Life Sciences	4.1	3.6	0.5	6.0	603259.SH	WUXI APPTEC
Real Estate Management & Development	4.0	2.7	1.2	7.8	600048.SH	PDH
Telecommunication Services	1.2	1.2	0.0	1.8	601728.SH	CHINA TELECOM
Steel	1.2	1.5	-0.3	-1.0	600019.SH	BAOSTEEL
Financial Services & Insurance	1.3	2.1	-0.7	-2.7	601318.SH	PING AN
Transportation	1.9	2.0	-0.1	1.1	601816.SH	BJ-SH HIGH SPEED RAILWAY
Automobiles & Components	2.1	2.1	0.0	-0.5	002594.SZ	BYD
Banking	2.1	2.1	0.0	0.2	600036.SH	CMB
Construction	2.6	3.0	-0.3	-2.1	601668.SH	CSCEC
Health Care Equipment & Services	2.7	2.6	0.0	2.3	300760.SZ	MINDRAY
National Defense	2.7	3.4	-0.8	-8.5	600893.SH	AECC AP
Industry Trade & Conglomerates	2.7	3.5	-0.8	-5.2	300475.SZ	SHANNON SEMI

Source: Wind (9 Oct 2026)

Figure 7: A-share thematic top/bottom performers on 5d return

Theme	5d	10d	20d	60d	RSI14
Top 10					
Bank	3.3	2.1	1.3	14.2	56
Shipping	3.3	2.9	4.8	24.7	59
Real Estate	3.2	12.8	10.3	12.2	63
Lithium Positive Electrode	3.0	3.0	-0.3	-8.1	61
Electricity	2.9	-0.3	1.4	5.8	58
Central SOEs Banking	2.8	2.5	1.3	14.4	62
Hydropower	2.5	-1.4	4.1	14.0	56
Sodion Battery	2.3	1.1	0.0	-6.8	54
Fujian Free Trade Zone	2.2	1.8	7.8	21.5	59
Thermal Power	1.9	-1.7	0.0	2.8	48
Bottom 10					
Optical Module	-16.8	-13.8	-5.8	-12.4	34
Vector Network Analyzer	-16.6	9.1	6.3	1.7	49
Optical Chip	-15.5	-11.6	-8.4	-19.3	34
Aluminum Nitride	-14.7	-14.4	-3.6	-18.3	35
LiDAR	-14.6	-11.6	-10.7	-14.2	33
OCS	-14.4	-10.2	-7.0	-8.4	38
Optical Communication	-14.3	-12.6	-5.4	-9.7	36
GPU	-14.2	-7.7	-12.0	-32.1	34
Synthetic Diamond	-14.2	-12.2	3.9	-18.6	40
HBM	-14.1	-11.1	-7.3	-28.8	34

Source: Wind (8 Oct 2026)

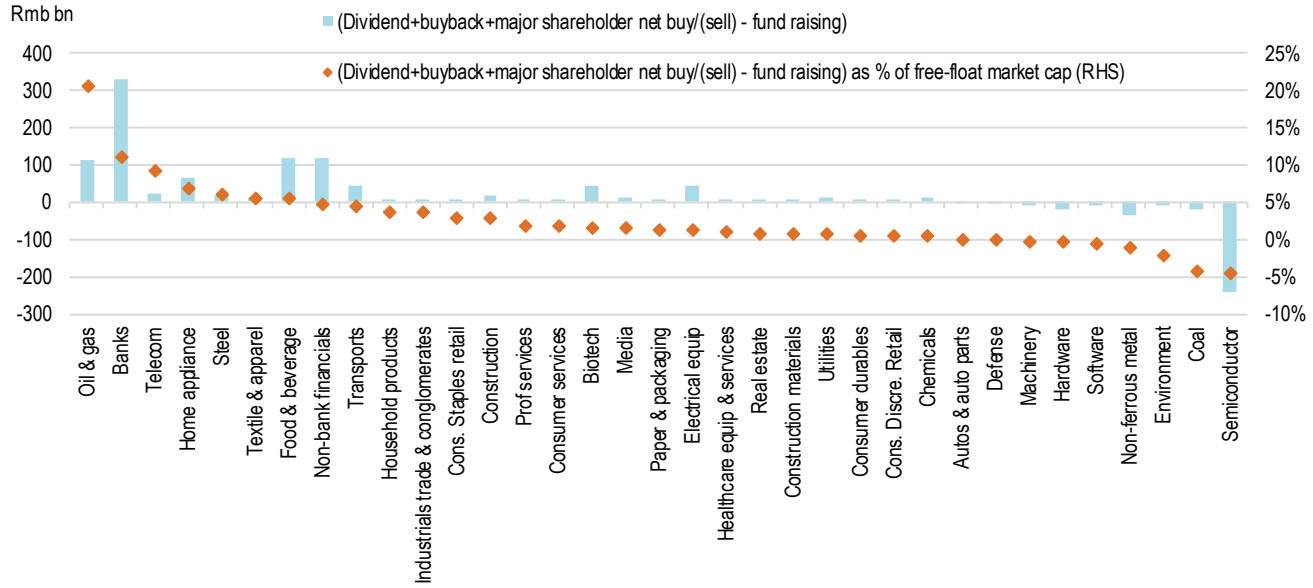
Figure 8: A-share thematic top/bottom performers on 20d return

Theme	5d	10d	20d	60d	RSI14
Top 10					
CRO	-5.4	6.3	12.8	31.4	55
Real Estate	3.2	12.8	10.3	12.2	63
Medical Services	-4.0	5.5	8.9	24.3	56
Printed Circuit Board	-12.6	-9.3	8.2	-2.6	43
Fujian Free Trade Zone	2.2	1.8	7.8	21.5	59
CCL	-11.7	-9.9	6.8	-9.6	43
Vector Network Analyzer	-16.6	9.1	6.3	1.7	49
Vaccine	-0.1	9.3	5.3	16.5	63
CSSC & CSIC	1.4	4.1	5.2	13.1	54
Shipping	3.3	2.9	4.8	24.7	59
Bottom 10					
Tungsten Hexafluoride	-13.1	-14.8	-14.4	-35.7	30
Gold & Jewelry	-5.7	-9.6	-13.6	-0.2	43
Stablecoin	-5.9	-4.3	-12.7	4.8	48
Sub-new Stocks	-11.3	-6.1	-12.6	-28.0	33
Consumer Electronics OEM	-9.0	-6.6	-12.1	-12.5	32
GPU	-14.2	-7.7	-12.0	-32.1	34
Stock Software	-9.7	-6.2	-11.2	-7.4	47
FP8	-12.2	-8.9	-11.1	-25.5	32
Helium	-9.0	-8.9	-10.9	-25.7	32
Computer Server	-10.2	-9.6	-10.8	-19.6	33

Source: Wind (8 Oct 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

Figure 9: A-share net shareholder return YTD by Wind level 2 industry



Source: Wind (8 Oct 2026).

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

Figure 10: Screen on China A-share AI infrastructure sub-industries with free-float (FFL) market cap>US$3bn

RIC Code	Security Name	Industry	CSI-300 constituent	FFL market cap (US$ bn)	3m ADT (US$ mn)	Current price (LCU)	2026 P/B (x)	2026 P/E (x)	2026 EPS y-y (%)	2027 EPS y-y (%)	P/E percentile rank in history (%)
688012.SH	AMEC	Wafer fab equipment	Y	34	1,186	311	10.4	77.4	82	26	30
002371.SZ	NAURA	Wafer fab equipment	Y	33	1,008	594	9.6	59.7	31	48	43
688072.SH	PIOTECH	Wafer fab equipment	Y	16	703	616	15.5	89.9	116	39	33
688361.SH	SKYVERSE	Wafer fab equipment		12	523	342	22.4	454.5	351	141	N/A
688120.SH	HWATSING	Wafer fab equipment		10	476	225	12.2	80.1	29	33	85
688037.SH	KINGSEMI	Wafer fab equipment		7	283	308	20.9	309.2	180	108	97
688082.SH	ACMSH	Wafer fab equipment	Y	5	286	266	8.6	68.7	35	31	73
300604.SZ	CCTECH	Backend equipment		15	925	228	17.5	67.6	64	48	27
688200.SH	ACCOTEST	Backend equipment		6	298	351	14.4	89.5	47	40	68
688521.SH	VERISILICON	Design service/IP	Y	9	618	152	19.1	583.6	126	407	N/A
688981.SH	SMIC	Foundry	Y	29	1,027	108	5.6	124.5	48	28	62
688347.SH	HUA HONG GRACE	Foundry		16	845	193	8.1	353.1	181	45	63
688249.SH	NEXCHIP	Foundry		4	170	30	2.7	84.1	13	57	77
688820.SH	SJSEMI	OSAT		31	306	112	10.3	185.3	22	56	11
600584.SH	JCET	OSAT	Y	13	1,513	63	3.7	51.9	38	34	45
002156.SZ	TFME	OSAT		10	1,198	56	5.1	47.1	54	15	7
688256.SH	CAMBRICON	CPU/GPU/AI ASIC	Y	43	1,974	986	36.8	108.6	177	114	0
688041.SH	HYGON	CPU/GPU/AI ASIC	Y	27	954	220	18.8	113.5	77	54	52
688802.SH	METAX	CPU/GPU/AI ASIC		17	228	464	13.9	1,262.1	119	717	3
688795.SH	MOORE THREADS	CPU/GPU/AI ASIC		13	228	377	15.3	-1,097.9	84	427	N/A
688469.SH	UNT	Power/Analog		6	182	9	5.3	144.4	184	65	N/A
300661.SZ	SGMICRO	Power/Analog	Y	6	225	96	8.7	68.5	76	49	43
688536.SH	3PEAK	Power/Analog		4	162	286	5.8	63.6	260	55	19
688141.SH	JOULWATT	Power/Analog		3	291	87	35.8	-89.2	38	151	N/A
688396.SH	CRM	Power/Analog	Y	3	199	52	2.8	55.6	88	35	49
688008.SH	MONTAGE TECHNOLOGY	Connectivity	Y	31	1,446	198	13.5	67.6	60	38	46
688702.SH	CENTEC COMMUNICATIONS	Connectivity		6	492	265	47.7	2,321.4	131	879	N/A
688825.SH	CXMT	Memory		517	NULL	51	12.7	19.9	9,168	72	1
603986.SH	GIGADEVICE	Memory	Y	28	2,937	326	7.1	19.0	635	26	6
688525.SH	BIWIN STORAGE	Memory		9	968	181	5.1	7.5	1,254	3	N/A
301308.SZ	LONGSYS	Memory	Y	8	853	284	6.0	8.8	938	-17	N/A
001309.SZ	TWSC	Memory		6	984	337	6.3	6.6	1,585	-18	N/A
600183.SH	SYTECH	PCB	Y	23	1,432	124	14.3	43.1	110	54	95
002463.SZ	WUS	PCB	Y	22	982	112	9.7	33.2	70	59	82
300476.SZ	VGT	PCB	Y	17	1,253	203	7.7	23.4	98	70	62
002916.SZ	SCC	PCB	Y	13	546	347	11.1	40.3	79	48	85
601138.SH	FII	Server/Switch ODM/OEM	Y	27	1,077	56	5.4	17.9	76	37	83
000063.SZ	ZTE	Server/Switch ODM/OEM	Y	13	702	29	1.7	23.7	4	14	95
000977.SZ	IEIT	Server/Switch ODM/OEM	Y	10	1,085	65	3.6	19.9	98	34	6
000938.SZ	UNIS	Server/Switch ODM/OEM	Y	9	1,359	30	4.9	26.8	92	35	15
603296.SH	HUAQIN TECHNOLOGY	Server/Switch ODM/OEM	Y	4	286	75	3.6	20.2	38	22	43
300308.SZ	ZHONGJI INNOLIGHT	Optical component	Y	93	4,534	775	13.3	27.7	205	93	40
300502.SZ	EOPTOLINK	Optical component	Y	64	2,960	370	13.6	25.5	113	77	25
300394.SZ	TFC	Optical component	Y	21	1,623	235	31.3	72.4	75	66	95
688498.SH	YUANJIE SEMICONDUCTOR	Optical component		15	1,005	1,206	45.1	146.1	438	79	23
002475.SZ	LUXSHARE-ICT	Cable	Y	32	920	48	3.4	17.6	26	36	5
002837.SZ	ENVICOOL	Cooling	Y	5	426	51	15.0	57.7	116	84	89
002851.SZ	MEGMEET	Power supply (server)		6	571	103	7.3	75.6	446	113	94
600941.SH	CHINA MOBILE	IDC/Telecom operator	Y	11	148	98	1.5	16.2	-4	3	60
600050.SH	CHINA UNICOM	IDC/Telecom operator	Y	10	91	4	0.8	17.7	-17	7	29
601728.SH	CHINA TELECOM	IDC/Telecom operator	Y	8	109	6	1.3	20.1	-11	3	84
300442.SZ	RANGE TECHNOLOGY	IDC/Telecom operator	Y	6	283	59	6.0	31.5	-40	31	2

Source: LSEG Workspace (9 Oct 2026), Wind (9 Oct 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

J.P.Morgan

Figure 11: Screen on China A-share innovative drug and CXO names with free-float market cap>US$3bn

Ticker	Company	CSI-300 constituent	FFL market cap (US$ bn)	3m ADT (US$ mn)	Current price (LCU)	2026 P/B (x)	2026 P/E (x)	2026 EPS y-y (%)	2027 EPS y-y (%)	P/E percentile rank in history (%)
603259.SH	WUXI APPTEC	Y	48	1,197	158	4.93	21.4	17	22	32
600276.SH	HENGRUI PHARMA	Y	24	610	47	4.47	33.8	19	16	17
002422.SZ	KELUN PHARMA	Y	6	209	40	2.45	31.0	20	22	67
300759.SZ	PHARMARON	N	6	451	43	4.66	39.1	22	28	48
002821.SZ	ASYMCHEM	N	5	297	178	3.44	46.3	23	29	76
600196.SH	FOSUN PHARMA	Y	4	96	24	1.21	16.5	14	18	22
688235.SH	BEONE MEDICINES	N	4	197	249	10.63	72.1	265	59	1
300347.SZ	TIGERMED	N	4	154	55	2.26	80.0	-33	115	100
603087.SH	GAN & LEE	N	4	125	76	3.62	31.9	24	19	32
300142.SZ	WALVAX	N	3	218	15	N/A	576.2	-77	261	66
000661.SZ	CCHT	N	3	100	72	1.26	26.3	621	22	N/A

Source: Wind (9 Oct 2026)

Figure 12: Screen on China A-share names with free-float market cap>Rmb20bn, positive TTM FCF, MRQ P/B<1.5x, TTM dividend yield>4%

Ticker	Company	Industry	FFL mkt cap (Rmb bn)	TTM FCF (Rmb mn)	MRQ P/B (x)	TTM dividend yield (%)	2026 cons. NP y-y	2027 cons. NP y-y
600036.SH	CMB	Bank	439	144,821	0.9	4.9	1.4	4.1
601166.SH	INDUSTRIAL BANK	Bank	273	776,714	0.5	5.9	-1.3	3.1
600919.SH	BANK OF JIANGSU	Bank	177	6,720	0.8	4.6	6.2	10.2
600000.SH	SPD BANK	Bank	115	33,822	0.4	4.4	3.2	7.2
601229.SH	BOSC	Bank	89	21,441	0.5	5.4	0.9	2.5
601825.SH	SHRCB	Bank	48	4,609	0.6	5.2	1.4	2.2
601998.SH	CNCB	Bank	44	122,712	0.7	4.2	0.9	3.8
601916.SH	CZBANK	Bank	42	145,232	0.4	4.5	-1.9	2.0
601838.SH	BANK OF CHENGDU	Bank	42	3,502	0.9	7.3	4.9	6.4
600015.SH	HUAXIA BANK	Bank	32	31,085	0.3	6.7	-5.1	4.2
601577.SH	BANK OF CHANGSHA	Bank	23	14,184	0.5	4.6	5.2	6.1
601668.SH	CSCEC	Building	76	11,116	0.4	6.2	-4.6	2.3
601318.SH	PING AN	Financial Services & Insurance	512	123,568	0.9	5.2	12.1	9.5
601336.SH	NCI	Financial Services & Insurance	40	510	1.4	4.8	3.6	6.1
601555.SH	SCS	Financial Services & Insurance	29	16,550	0.9	4.4	9.0	11.3
002736.SZ	GUOSEN SECURITIES	Financial Services & Insurance	28	52,747	1.0	4.6	3.4	9.0
000651.SZ	GREE	Household Appliances II	163	14,358	1.5	7.7	-0.1	4.2
000157.SZ	ZOOMLION	Machinery	28	4,498	0.9	6.6	9.4	21.8
601857.SH	PETROCHINA	Petroleum And Petrochemical	132	3,080	1.3	4.4	20.2	-2.2
600941.SH	CHINA MOBILE	Telecommunication Services	84	7,872	1.5	4.8	-4.2	2.6

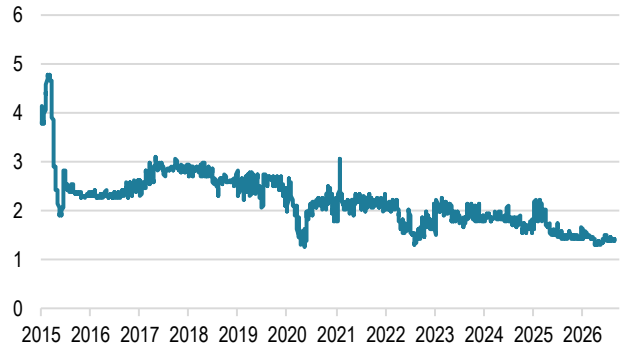
Source: Wind (9 Oct 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

Flows & Positioning

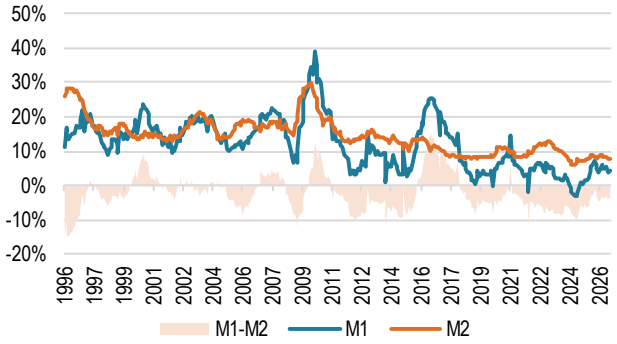
1. Macro indicators

Figure 13: Rolling 5-day DR007



Source: Wind (8 Oct 2026).

Figure 14: M1, M2, and M1-M2



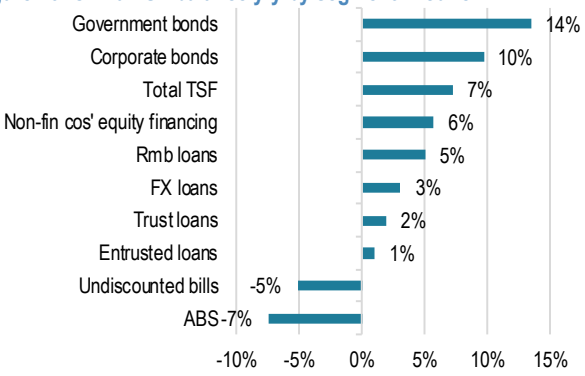
Source: Wind (8 Oct 2026).

Figure 15: China total social financing (TSF) balance y-y



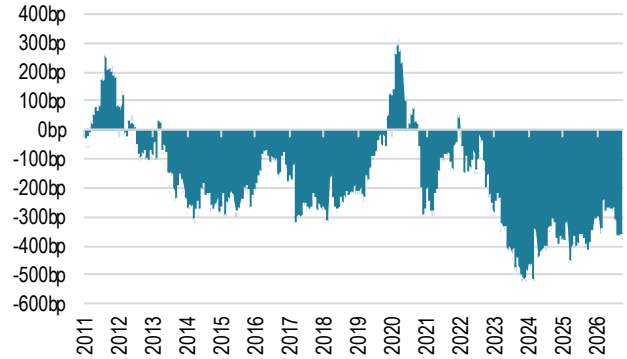
Source: Wind (8 Oct 2026).

Figure 16: China TSF balance y-y by segment in June



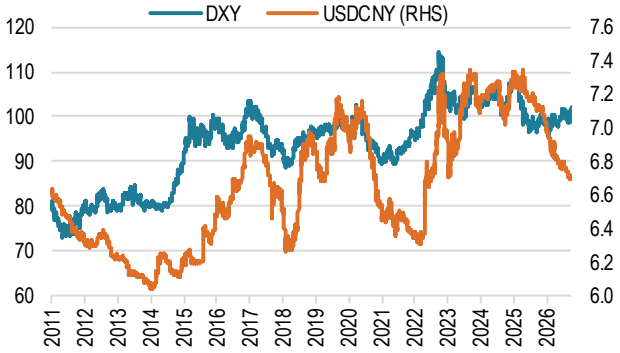
Source: Wind (8 Oct 2026).

Figure 17: China-US real 10-year government bond yield spread



Source: Wind (8 Oct 2026).

Figure 18: DXY and USD/CNY

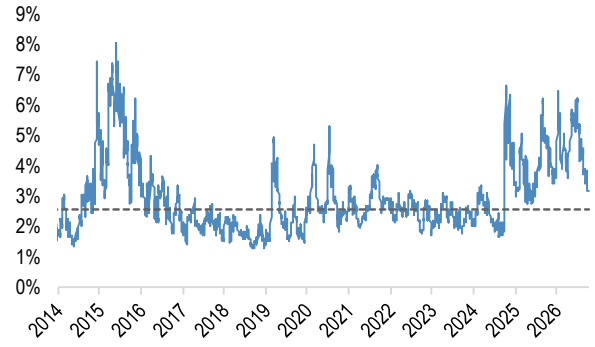


Source: Wind (8 Oct 2026).

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

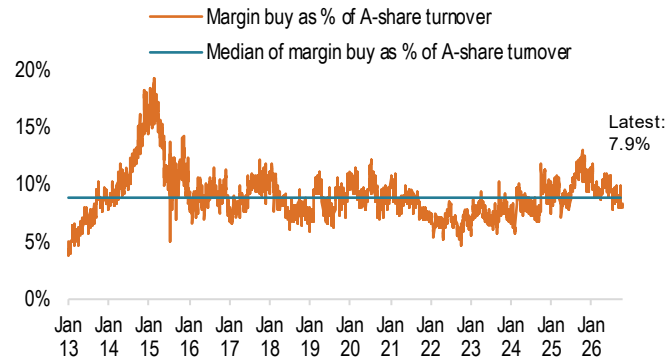
2. A-share flows and positioning

Figure 19: A-share velocity



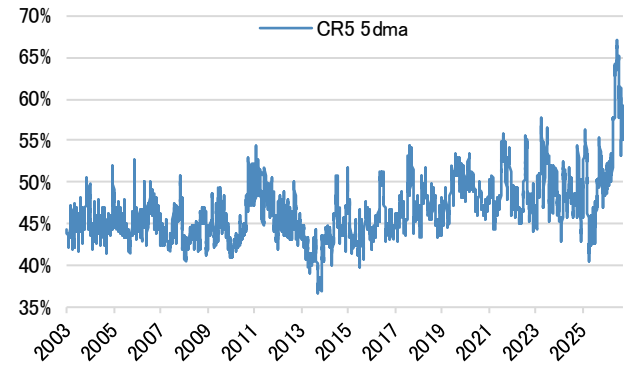
Source: Wind (8 Oct 2026)

Figure 20: A-share margin financing



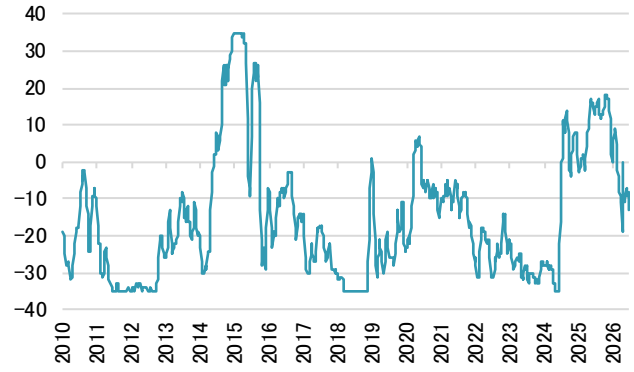
Source: Wind (8 Oct 2026)

Figure 21: A-share crowding on CR5 of Wind Level 2 industry indices' turnover



Source: Wind (8 Oct 2026)

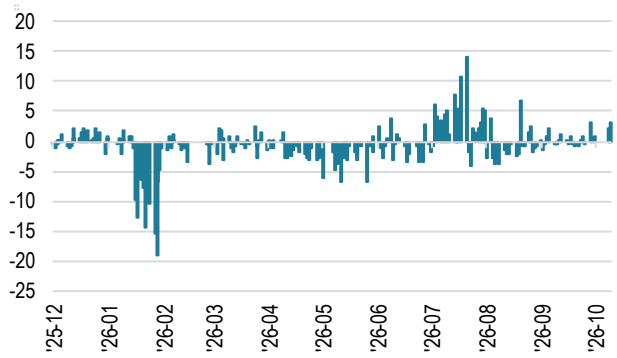
Figure 22: A-share momentum tracker on level 2 industry breadth



Source: Wind (8 Oct 2026)

Figure 23: A-share ETF daily inflows

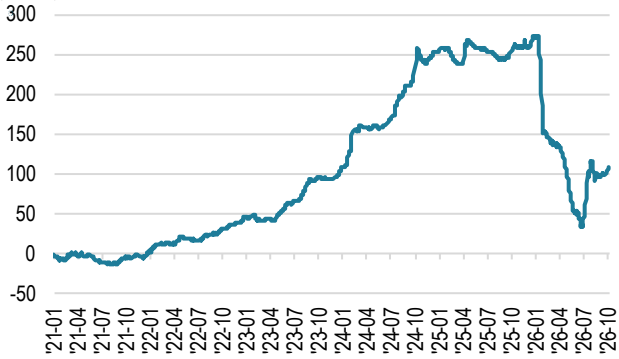
(US$ bn)



Source: Wind (9 Oct 2026)

Figure 24: A-share ETF cumulative inflows

(US$ bn)



Source: Wind (9 Oct 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

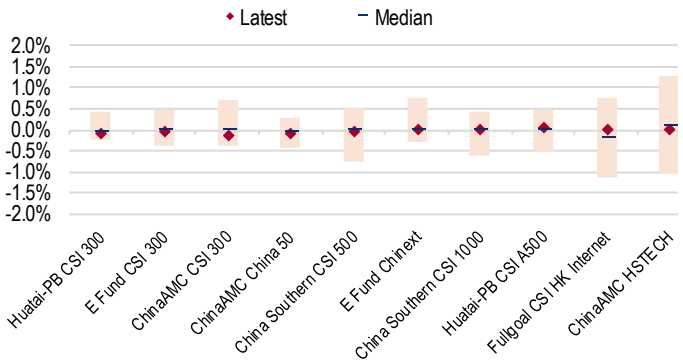
J.P.Morgan

Figure 25: 800-plus A-share ETFs' net flow by key benchmark

Inflows in (Rmb bn)	18 Dec 2023 - 9 Feb 2024	19 Feb 2024 - 9 Jan 2026	3Q26	Oct MT
CSI300	254.3	356.7	35.7	1
SSE50 + A50	35.1	30.0	1.1	0
A500	0.0	204.9	39.4	1
CSI500	32.5	31.6	17.3	1
CSI1000	29.8	58.0	19.3	4
CSI2000	6.2	-5.4	3.7	0
Chinext	24.6	-15.1	43.5	5
STAR	9.4	-71.0	76.6	10
Yield	12.2	60.5	-17.3	-0
Consumers	-2.4	33.0	-2.1	0
Semis	-0.4	-25.4	132.1	4
IT hardware	0.0	0.7	29.8	-0
Rest	-0.9	184.2	91.4	8
TOTAL	**400.3**	**842.6**	**470.5**	**35**

Source: Wind (9 Oct 2026).

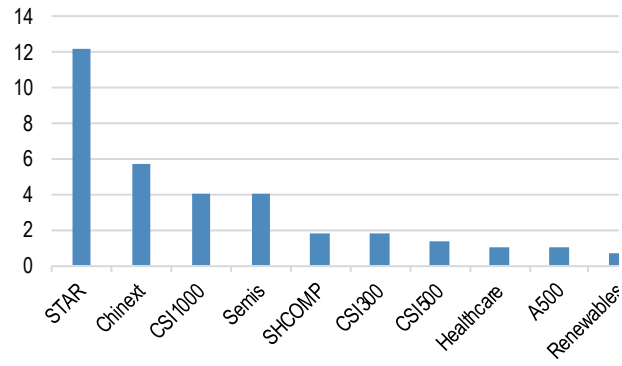
Figure 26: Select A-share ETFs' premium/discount ratios



Source: Wind (9 Oct 2026).

Figure 27: 800-plus A-share ETFs' top verticals of net inflow MTD

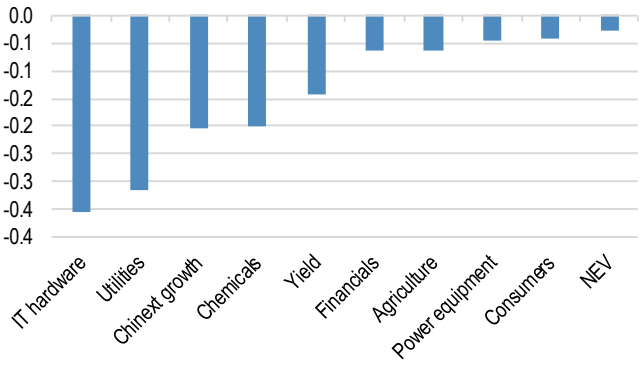
(Rmb bn)



Source: Wind (8 Oct 2026).

Figure 28: 800-plus A-share ETFs' top verticals of net outflow MTD

(Rmb bn)



Source: Wind (8 Oct 2026).

Figure 29: Onshore mutual funds' percentage sector positioning

Sector	06 '26	12 '25	06 '25	12 '24	06 '24	12 '23	06 '23	12 '22	06 '22	12 '21	06 '21	12 '20	06 '20	12 '19	06 '19	12 '18	06 '18	12 '17	06 '17	12 '16	06 '16	12 '15	06 '15	12 '14	06 '14	12 '13	06 '13
IT	46	28	26	23	20	22	24	19	17	19	17	18	23	21	16	15	14	15	15	16	20	23	20	13	16	14	11
Industrials	12	15	14	15	15	14	15	17	16	16	14	13	10	10	9	11	9	13	14	18	17	16	16	15	14	15	13
Materials	11	14	8	8	9	9	9	11	15	15	13	12	6	7	5	6	9	10	10	10	11	9	7	7	6	6	5
Healthcare	9	13	15	14	14	18	15	16	14	13	16	14	21	13	12	12	14	9	11	11	11	10	11	9	16	15	14
Cons Discre	5	10	13	13	11	10	9	9	10	10	11	13	11	13	13	12	14	14	14	13	12	14	11	11	13	14	12
Cons Staples	3	5	7	7	8	10	9	12	11	10	11	13	13	12	16	11	11	10	6	5	6	4	4	5	7	9	8
Financials	2	3	4	4	3	3	2	2	3	4	5	5	3	8	10	10	6	9	8	5	4	4	6	16	4	5	6
Energy	1	1	1	2	3	2	1	1	1	1	1	1	0	1	1	2	2	1	1	2	2	1	1	1	2	2	2
Utilities	0	1	1	1	3	2	2	2	2	2	1	0	0	1	1	2	1	1	3	3	3	3	2	2	1	1	2
Real Estate	0	1	1	1	1	1	1	1	1	1	1	1	1	4	3	3	2	2	2	2	2	2	3	7	3	3	6
Comm Svs	0.3	0.8	1.5	1.4	1.5	0.9	0.4	0.3	0.3	0.1	0.2	0.0	0.1	0.1	0.2	0.3	0.1	0.2	0.8	0.7	0.2	0.2	0.3	0.3	0.3	0.3	0.3

Source: Wind (2 Sep 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

J.P.Morgan

Figure 30: Onshore mutual funds' sector holding on standard deviation vs respective history

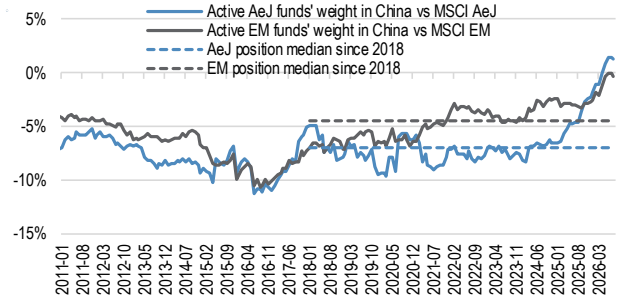
Sector	06 '26	12 '25	06 '25	12 '24	06 '24	12 '23	06 '23	12 '22	06 '22	12 '21	06 '21	12 '20	06 '20	12 '19	06 '19	12 '18	06 '18	12 '17	06 '17	12 '16	06 '16	12 '15	06 '15	12 '14	06 '14	12 '13	06 '13
IT	3.9	1.2	0.9	0.5	0.0	0.3	0.6	-0.1	-0.4	-0.1	-0.4	-0.2	0.6	0.1	-0.5	-0.8	-0.9	-0.7	-0.7	-0.5	0.1	0.5	0.1	-0.9	-0.5	-0.9	-1.3
Industrials	-0.9	0.4	-0.1	0.6	0.5	0.1	0.5	1.2	1.0	0.9	0.0	-0.4	-1.6	-1.5	-2.0	-1.2	-2.0	-0.6	0.0	1.7	1.1	0.8	0.8	0.3	0.0	0.6	-0.3
Materials	0.7	1.8	-0.4	-0.5	0.0	0.1	0.0	0.5	1.9	1.9	1.4	0.9	-1.1	-0.9	-1.4	-1.2	0.1	0.3	0.2	0.4	0.6	0.0	-0.8	-0.8	-1.1	-1.0	-1.3
Healthcare	-1.5	-0.2	0.7	0.2	0.4	1.6	0.7	0.9	0.1	-0.2	0.8	0.4	2.7	0.0	-0.3	-0.3	0.3	-1.7	-1.0	-0.8	-1.0	-1.3	-0.7	-1.4	1.0	0.5	0.1
Cons Discre	-3.3	-0.9	0.5	0.6	-0.5	-1.0	-1.1	-1.1	-0.5	-0.9	-0.2	0.5	-0.2	0.6	0.5	0.2	1.2	1.0	1.2	0.9	0.1	1.2	-0.1	-0.4	0.7	1.0	0.1
Cons Staples	-1.8	-1.1	-0.6	-0.5	-0.2	0.3	0.2	1.0	0.8	0.4	0.7	1.4	1.3	1.0	2.3	0.7	0.6	0.3	-0.7	-1.2	-0.8	-1.3	-1.3	-1.2	-0.5	0.1	-0.1
Financials	-1.1	-0.7	-0.4	-0.5	-0.6	-0.8	-0.9	-0.9	-0.7	-0.5	-0.2	0.0	-0.8	0.8	1.5	1.4	0.3	1.0	1.0	-0.2	-0.4	-0.6	0.1	3.5	-0.3	-0.1	0.2
Energy	-0.5	-0.6	-0.8	0.3	2.1	1.6	0.1	0.1	-0.1	-1.2	-0.9	-1.6	-1.9	-0.4	-0.4	1.1	1.0	0.0	-0.4	0.8	0.6	-1.0	-0.9	0.0	0.4	0.8	1.9
Utilities	-1.4	-1.2	-0.8	-0.1	1.9	0.3	0.4	0.1	0.0	0.6	-1.2	-1.5	-1.6	-0.9	-0.5	0.9	-0.2	-0.3	1.4	1.2	1.9	1.2	-0.1	0.5	-0.6	-0.3	0.3
Real Estate	-1.0	-0.9	-0.7	-0.7	-0.7	-0.8	-0.8	-0.5	-0.5	-0.6	-0.8	-0.7	-0.5	0.9	0.5	0.9	0.1	0.2	-0.2	-0.3	-0.2	-0.1	0.4	3.1	0.6	0.8	2.5
Comm Svs	-0.4	0.7	2.5	2.2	2.5	1.1	-0.2	-0.4	-0.4	-0.7	-0.5	-0.9	-0.8	-0.9	-0.5	-0.3	-0.8	-0.5	0.7	0.5	-0.6	-0.6	-0.4	-0.4	-0.2	-0.4	-0.4

Source: Wind (2 Sep 2026)

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

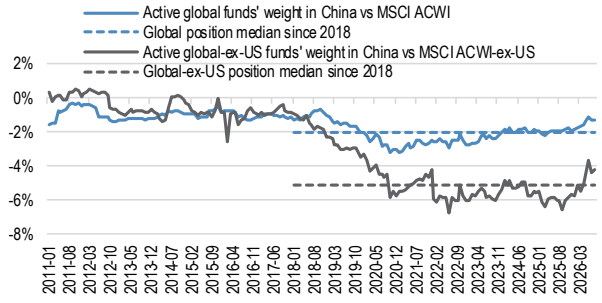
3. Offshore investors' positioning and flow in China equities

Figure 31: Active regional funds' position in China relative to MSCI benchmarks



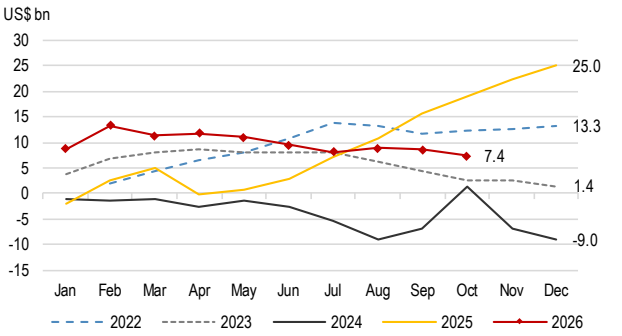
Source: EPFR Global (31 Aug 2026), MSCI (31 Aug 2026), J.P. Morgan estimates

Figure 32: Active global funds' position in China relative to MSCI benchmarks



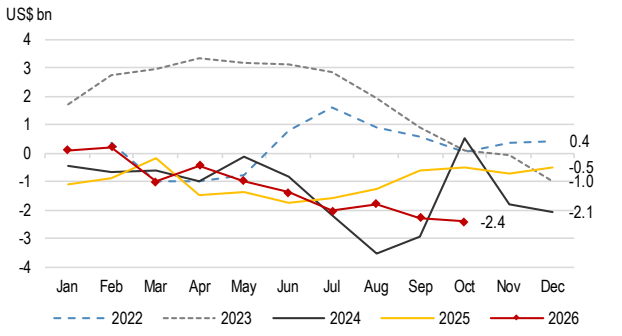
Source: EPFR Global (31 Aug 2026), MSCI (31 Aug 2026), J.P. Morgan estimates

Figure 33: EPFR stock barometer tracked cumulative offshore fund flows into China equities YTD



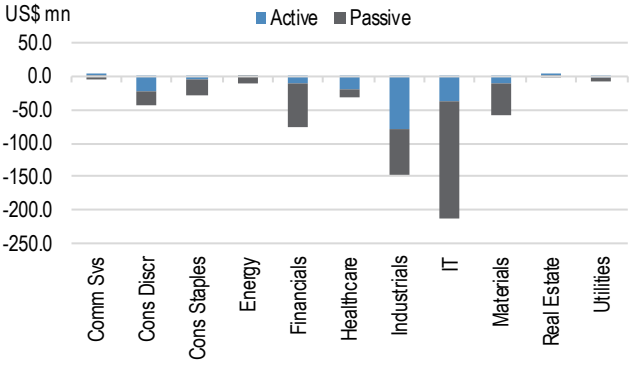
Source: EPFR Global (8 Oct 2026).

Figure 34: EPFR stock barometer tracked cumulative offshore fund flows into A-share equities YTD



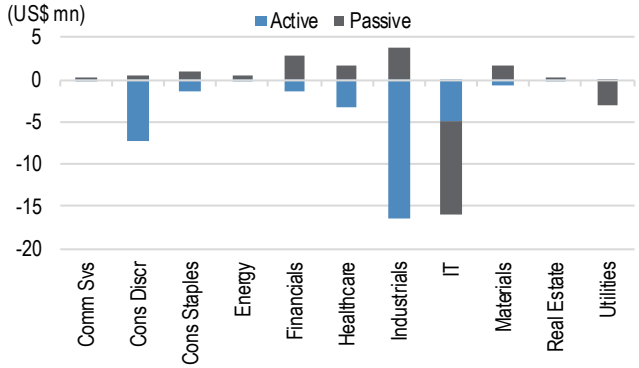
Source: EPFR Global (8 Oct 2026).

Figure 35: EPFR stock barometer tracked flows into A-shares by sector (31 Aug – 2 Oct)



Source: EPFR Global (8 Oct 2026).

Figure 36: EPFR stock barometer tracked flows into A-shares by sector (5-8 Oct)



Source: EPFR Global (8 Oct 2026).

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

J.P.Morgan

Figure 37: CSI-300 and sector indices' performance during selected periods of UST 10Y YTM rising by at least 50bps

TTM P/E	AVERAGE	Since 2017 Bear steepener	Bear flattener
CSI300	-18.6	10.5	-38.0
Energy	4.8	11.1	0.6
Materials	-37.2	6.5	-66.3
Industrials	-13.2	9.8	-28.5
ConsDisc	9.7	78.8	-36.4
ConsStaples	-9.3	-5.8	-11.7
HealthCare	-26.8	-12.9	-36.1
IT	5.7	34.7	-23.3
CommSvs	10.0	37.9	-17.9
Utilities	8.5	0.6	13.7
RealEstate	74.4	26.5	106.4
Financials	-2.0	25.3	-29.2

TTM EPS	AVERAGE	Since 2017 Bear steepener	Bear flattener
CSI300	25.3	-5.2	45.7
Energy	31.9	-7.7	58.3
Materials	116.1	3.4	191.3
Industrials	14.6	1.5	23.4
ConsDisc	11.6	-10.3	26.2
ConsStaples	3.8	5.0	3.0
HealthCare	45.1	13.0	66.5
IT	17.4	3.4	31.5
CommSvs	18.8	-14.6	52.1
Utilities	-1.9	-0.2	-3.0
RealEstate	-22.7	-22.9	-22.6
Financials	15.1	-2.3	32.5

Price	AVERAGE	Since 2017 Bear steepener	Bear flattener
CSI300	-8.5	2.0	-15.6
Energy	13.4	2.4	20.7
Materials	-7.0	-1.1	-11.0
Industrials	-10.2	-3.8	-14.5
ConsDisc	-10.3	4.0	-19.8
ConsStaples	-7.9	-2.4	-11.5
HealthCare	-10.5	-1.6	-16.4
IT	20.0	39.2	0.8
CommSvs	21.3	17.8	24.8
Utilities	2.2	0.1	3.7
RealEstate	-17.8	-5.2	-26.2
Financials	8.1	22.3	-6.2

Source: Wind, data as of 12 Oct 2026.

Erin Zhang, CFA
(86-21) 6106 6328
erin.zhang@jpmorgan.com

J.P.Morgan

Companies Discussed in This Report (all prices in this report as of market close on 12 October 2026, unless otherwise indicated)
Huaqin Co Ltd - A(603296.SS/Rmb70.98/OW)

Analyst Certification: The Research Analyst(s) denoted by an "AC" on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an "AC" on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst's personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst's analysis was made in good faith and that the views reflect the Research Analyst's own opinion, without undue influence or intervention.

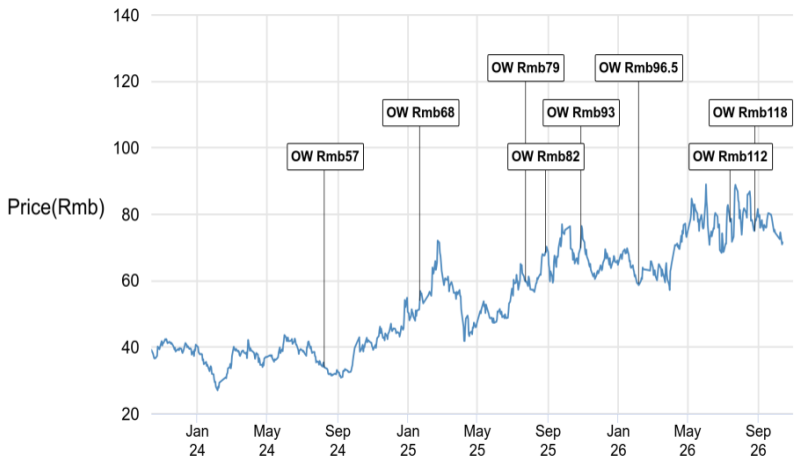
All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Huaqin Co Ltd - A or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Huaqin Co Ltd - A or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Huaqin Co Ltd - A or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Huaqin Co Ltd - A or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Huaqin Co Ltd - A or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Huaqin Co Ltd - A or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Huaqin Co Ltd - A or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting https://www.jpmm.com/research/disclosures, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Huaqin Co Ltd - A (603296.SS, 603296 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
09-Aug-24	OW	33.99	57
22-Jan-25	OW	53.96	68
24-Jul-25	OW	59.89	79
28-Aug-25	OW	68.53	82
28-Oct-25	OW	69.86	93
05-Feb-26	OW	59.18	96.5
15-Jul-26	OW	77.79	112
26-Aug-26	OW	75.00	118

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 09, 2024. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:
J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, https://www.jpmorganmarkets.com.

J.P. Morgan Equity Research Ratings Distribution, as of October 03, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	35%	12%
IB clients**	83%	81%	72%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	93%	88%

*Please note that the percentages may not add to 100% because of rounding.
**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at http://www.jpmorganmarkets.com, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are

available to download on the company pages of our client website, http://www.jpmorganmarkets.com. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:
A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of http://www.jpmorganmarkets.com where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to UK MIFID Research Unbundling exemption for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant regulatory advisories on digital assets, including bitcoin and ethereum, please see https://www.jpmorgan.com/disclosures/cryptoasset-disclosure.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit https://www.theocc.com/components/docs/riskstoc.pdf for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:
Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).
Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting https://www.jpmm.com/research/disclosures. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: J.P. Morgan Australia - Research Independence Policy.
Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.
Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.
Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.
China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.
Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.
Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.
European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.
Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is

regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.
India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: http://www.jpmipl.com. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit Terms and Conditions and Most Important Terms and Conditions (MITC). The annual Compliance audit report is available at http://www.jpmipl.com/#research.
Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).
Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.
Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.
Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.
Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").
New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.
Nigeria: J.P. Morgan Chase Representative Office (Nigeria) Limited is regulated by the Central Bank of Nigeria.
Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.
Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.
South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).
Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumphini, Pathum Wan, Bangkok 10330.
UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: J.P. Morgan EMEA - Research Independence Policy.
U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into

which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: https://www.jpmorgan.com/disclosures/email

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to msci.com/disclaimer

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised October 03, 2026.

Copyright 2026 J.P. Morgan Securities (China) Company Limited. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.